

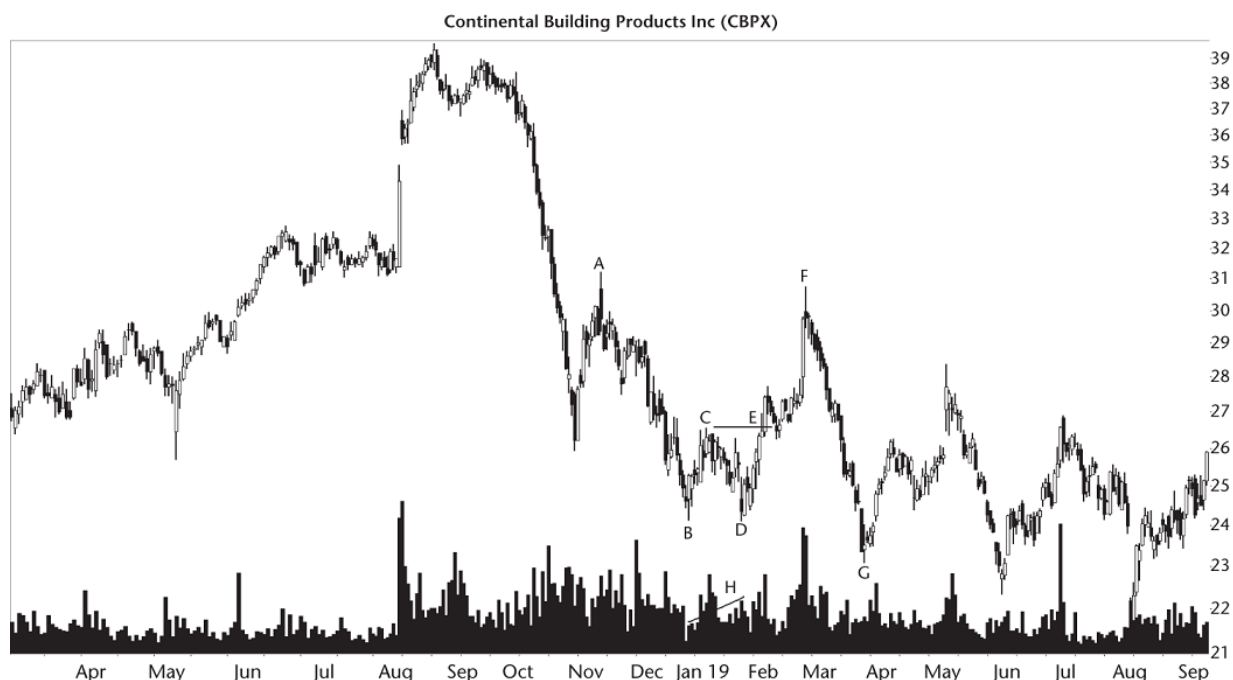


Figure 7.2 Price at F almost returns to the launch price, A.

Price trend. The downtrend from A to B is a steep drop like that shown in the figure. You want to avoid patterns that see price meander or even move sideways as the drop approaches B. If price takes its time reaching the first bottom, then the chart pattern is probably a double bottom (see one of the Adam & Eve varieties).

Eyeball the height from the center peak between the two bottoms to the lower of the two bottoms. Then make sure the left side of the pattern is at least that height above the central peak.

For example, the height of the big W is the high price at point C minus the low at B. The left side must be at least this height above C. In this case, the downtrend begins at A, which is well above C, so the downtrend from A to B is tall enough. A tall left side is what separates big Ws from double bottoms. A big W is a type of double bottom, but few double bottoms are big Ws. I hope that makes cents (sense).

Volume. Don't disqualify a big W because of its volume trend. However, most of the time, you'll see volume trending lower from valley B to D. Linear regression on the big W shown in the figure says volume slopes upward. It doesn't *look* like it does, but the numbers say otherwise. I show the upward trend at H.